

Amazon.com Inc. (AMZN)

\$1,775.07 (As of 05/31/19)

Price Target (6-12 Months): **\$1,864.00**

Long Term: 6-12 Months

Zacks Recommendation:

Neutral

(Since: 05/01/19)

Prior Recommendation: Outperform

Short Term: 1-3 Months

Zacks Rank: (1-5)

3-Hold

Zacks Style Scores:

VGM:D

Value: D

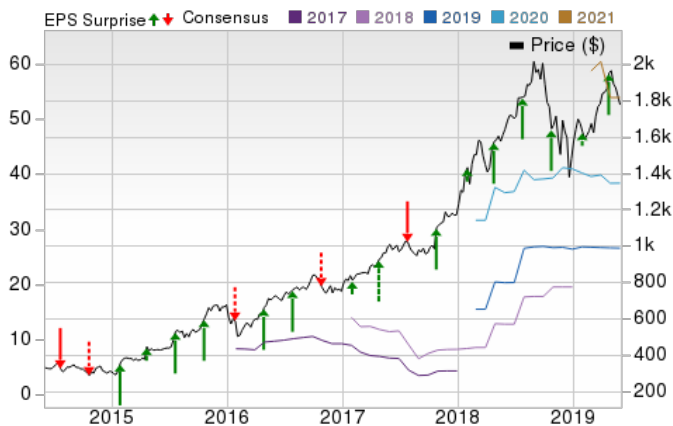
Growth: B

Momentum: D

Summary

Amazon continues to ride on its aggressive retail strategies, distribution strength and robust Prime program. Moreover, rapid adoption of Prime driven by customer benefits and strengthening grocery services is aiding its top line. Further, expanding content portfolio of Prime remains a tailwind. Further, strengthening AWS services portfolio, rising number of availability zones and growing adoption are aiding Amazon's dominance in the cloud space. Furthermore, improving Alexa skills and growing advertisement business remain major positives. Notably, the stock has outperformed the industry it belongs to over a year. However, intensifying competition in the cloud computing market from the likes of Microsoft Azure and Google cloud is a significant headwind. Further, heavy investment in fulfillment centers remains a concern.

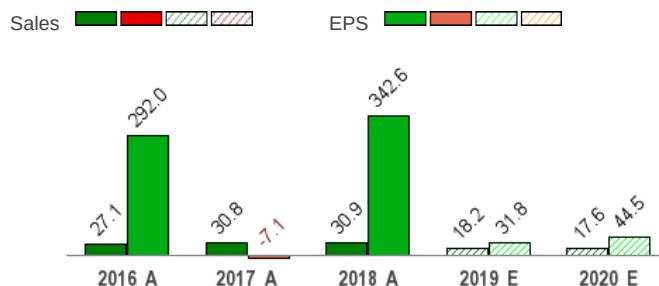
Price, Consensus & Surprise



Data Overview

52 Week High-Low	\$2,050.50 - \$1,307.00
20 Day Average Volume (sh)	4,325,637
Market Cap	\$894.2 B
YTD Price Change	20.9%
Beta	1.62
Dividend / Div Yld	\$0.00 / 0.0%
Industry	Internet - Commerce
Zacks Industry Rank	Bottom 26% (189 out of 256)

Sales and EPS Growth Rates (Y/Y %)



Last EPS Surprise	53.8%
Last Sales Surprise	0.0%
EPS F1 Est- 4 week change	-0.2%
Expected Report Date	07/25/2019
Earnings ESP	0.0%
P/E TTM	74.1
P/E F1	66.9
PEG F1	2.0
P/S TTM	3.7

Sales Estimates (millions of \$)

	Q1	Q2	Q3	Q4	Annual*
2020	71,083 E	74,102 E	79,712 E	101,329 E	323,699 E
2019	59,700 A	62,510 E	67,222 E	85,716 E	275,245 E
2018	51,042 A	52,886 A	56,576 A	72,383 A	232,887 A

EPS Estimates

	Q1	Q2	Q3	Q4	Annual*
2020	\$8.57 E	\$8.69 E	\$9.72 E	\$12.71 E	\$38.37 E
2019	\$7.09 A	\$5.28 E	\$6.31 E	\$7.71 E	\$26.55 E
2018	\$3.27 A	\$5.07 A	\$5.75 A	\$6.04 A	\$20.14 A

*Quarterly figures may not add up to annual.

The data in the charts and tables, including the Zacks Consensus EPS and Sales estimates, is as of 05/31/2019. The reports text is as of 06/03/2019.

Overview

Seattle, Washington-based Amazon.com, Inc. is one of the largest online retailers, with extensive operations in North America, now spreading across the globe. Its division Amazon Web Services (AWS) has become a dominant name in the cloud-computing market.

Further, robust Prime program has been successfully aiding Amazon's momentum in the e-commerce market. Moreover, expanding content portfolio of Prime bodes well for its growing footprint in the streaming services space.

Revenues were \$232.9 billion in 2018. The company reports revenue under three broad heads—North America, International and AWS, which generated 60.7%, 28.3% and 11% of total revenues, respectively.

North America and International are further divided on the basis of Media, Electronics and other General Merchandise (EGM), and Other (basically non-retail revenue from infrastructure services, external seller sites, co-branded credit card agreements and miscellaneous marketing and promotional activities).

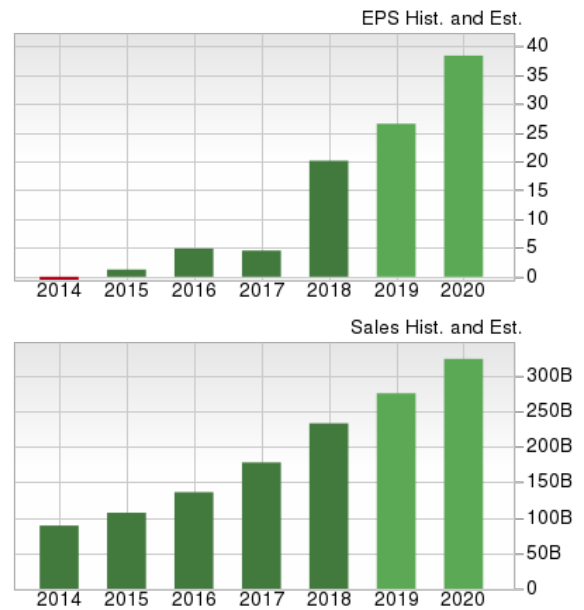
Amazon targets three categories of customers—consumers, sellers and website developers. Consumers are offered variety, convenience and free delivery of goods displayed on the company's websites. Some of the websites hosted include amazon.com, amazon.co.uk, amazon.de, amazon.fr, amazon.co.jp, amazon.ca, amazon.in and amazon.cn.

The agreements with sellers are varied, enabling them to use the company's websites to either sell their merchandise directly, or redirect customers to the sellers' own branded websites. In case of the latter arrangement, Amazon earns a fee for the sales thus generated.

While books, music and movies generate a major chunk of revenue, the company offers a variety of other products, including auto parts, toys, electronic gadgets, cell phones, software, home furnishings, apparel, jewelry, health and beauty aids, prescription drugs, groceries and food.

Additionally, the company generates a significant amount of revenues from cloud computing arm, AWS, which is one of its high-margin generating businesses.

Competition comes in the form of traditional retailers, other online retailers, media companies, web portals, search engines, e-commerce companies and cloud computing service providers.



Reasons To Buy:

- ▲ Amazon.com is **one of the largest e-commerce companies** in the world. Although the primary product line was books at first, the company rapidly diversified into a host of other product categories. The current focus is on building video content, primarily for Prime subscribers because the growth prospects in that market are considerable. Product selection, a superior user experience, bargains and customer feedback have helped the company build a strong position for itself in the fast-growing ecommerce market. The growth of the e-commerce industry with consumers increasingly buying things online has proved to be favorable for the company. While the big brands may build their own online stores over time, a platform like Amazon allows discovery by new buyers. Smaller players are far more dependent on Amazon as they don't have the resources that Amazon has to invest in technology and fulfilment to generate the kind of reach that Amazon can deliver. Moreover, considering opportunities in international markets, the company's high growth rates are likely to be sustained over the next few years.
- ▲ Amazon is benefiting from its Prime program, delivery and logistic system in the e-commerce space. Further, its dominant position in cloud market is a positive.
- ▲ Amazon keeps its retail business very hard to beat on price, choice, and convenience with the help of a solid loyalty system in **Prime and its FBA strategy**. The company continues to push advantages exclusively to Prime members, thus encouraging them to spend more on Amazon. The current focus is on building video content, primarily for Prime subscribers because the growth prospects in the market are considerable. Prime members are much more loyal and spend double the amount spent by non-Prime members.
- ▲ Amazon's strategy of **gradually merging online and offline retail** looks promising. It will not only reshape the retail landscape but also help it fend off competition, if it could manage a first mover advantage. It has added online and offline features to its bookstores and is going the same way with innovations such as drive-in-grocery delivery service (AmazonFresh Pickup - order groceries online and collect them from a store nearby) and "cashier-less" stores (Amazon Go – the company's first brick-and mortar grocery store). We expect online retail sales to decelerate while the overall retail market still holds a lot of potential. So, moves like these will help Amazon tap a large number of customers who prefer to shop offline, while not doing away with the online business.
- ▲ Amazon is the leading provider of cloud infrastructure as a service to enterprise customers. The expanding customer base of **Amazon Web Services (AWS)** driven by its strengthening cloud offerings will continue to aid Amazon's dominance in the global cloud space. Even more encouraging is the fact that AWS generates much stronger margins than the traditional retail business, which should remain a positive for the company's profitability as it continues to grow in the mix. AWS is gaining momentum with customers including Adobe, GE Oil & Gas, Kellogg's, Airbnb, Philips, Pinterest, Spotify, Tata Motors, Unilever, McDonalds, BMW, British Gas, Capital One, US Department of State and USDA Food and Nutrition Service.
- ▲ Amazon is pushing well with its **devices strategy**. Alexa powered Echo devices are going great guns and help the company sell products and services. Artificial intelligence (AI) driven Alexa has already been integrated into a host of everyday devices for the digital home, which has converted the nascent smart home market into a potential area of growth in a very short time. Currently, Alexa is equipped with more than 90,000 of skills and can connect to any stream of business. It's an important method of collecting householder information, since Alexa is used to listen to commands and store everything that it hears in the cloud. The company is racing to build an ecosystem around Alexa and it's safe to say that it has taken an early lead over Google's smart assistant and Microsoft's Cortana.
- ▲ Amazon is gradually choosing the **buy option over build**, which, along with the other positives, ensures that the company generates revenues right way without wasting any time in building its own infrastructure. In Jul, 2017, the company completed the acquisition of a Dubai-based e-commerce giant, Souq.com. The deal will help Amazon to establish a presence in countries like Egypt, Saudi Arabia, and the UAE markets like Egypt, Saudi Arabia, and the UAE. Amazon's retail market share is still relatively small in these markets, but there is a good possibility of an increase in the next few years. If this happens, the company will see additional several billion dollars a year in revenues. In August, the company closed acquisition of natural and organic foods supermarket, Whole Foods Market for \$13.7 billion. Through this acquisition, the company is targeting the considerably large customer base that still prefers to shop at physical stores. This is Amazon's way of tackling mounting competition and slow growth in the e-commerce space. This year, Amazon has also acquired Body Labs, a startup that develops AI, computer vision and body-modelling based 3D body shapes and motion for various industries. It also acquired GameSparks to spruce up its gaming capabilities.

Reasons To Sell:

- ▼ There is a downside to a growing international business in the current economic environment. While expansion opportunities automatically increase, **currency** also starts playing a bigger role. Currency continues to have a significantly negative impact on its e-commerce results, which is now being offset by strength in AWS. Since the dollar remains strong at the moment and the situation may not change much for the rest of the year as well, there will be pressure on Amazon's profitability. The risk should be hedged however as AWS increases in the mix. AWS revenues are dollar-denominated while a lot of the assets were located in low-cost regions meaning that reduced competitiveness from the rising dollar would potentially be compensated by lower costs. Also note that once companies have migrated to its AWS platform, it will be difficult to switch or stop using it, leading to a situation of relatively inelastic demand.
- ▼ The AWS business is bringing an **element of cyclicality** into the business. Generally, a capital-intensive business means that the company will have to periodically sacrifice profits to build out infrastructure and then wait for customers to fill up the capacity thus created. So there will be periods during which the company will build out at the cost of profits and cash flows followed by periods during which the increased operating leverage will translate into improved profitability. AWS is still a small percentage of Amazon's total business, but still has a significant impact on its profitability because of the low-margin profile of the retail business. As AWS grows as a percentage of sales, it will become a greater influence on profitability.
- ▼ **Prime's saturation in the U.S. market** is apparent, because Amazon has very high penetration rates in the country. This led management to announce a tiered pricing system, wherein users can try out a monthly subscription if they are unsure about the program or don't want to pay upfront for the whole year. This plan brings flexibility to the pricing system, so is likely to remain. It should also increase penetration amongst the less affluent households.
- ▼ The **competition in online retail** is heating up. Traditional retailers have always provided the strongest competition and a number of them are running e-commerce sites as well. Additionally, the increased use of the Internet in both developed and developing economies is attracting other players into the space. Affiliation programs are being used by big players such as eBay. Several smaller companies could also find their own niche. While the Chinese market appears ripe and Amazon has initiatives to increase penetration in the market, local company Alibaba.com is very well-entrenched there. In China, Amazon has to contend with not only Alibaba, but also a growing number of other home-grown players. Additionally, Alibaba is now targeting the American market, which will greatly increase competition for Amazon. Further, since Amazon's first mover advantage is likely to moderate over time, some market share erosion seems inevitable.
- ▼ Amazon continues to **invest heavily on fulfillment centers, TV shows and movies, grocery, AWS, India expansion** and what not. In India, the company is making massive investments to build a logistics network that would cover the entire country. The \$5 billion investment plan is well on track but at the cost of global margins. Management has indicated that Amazon will continue with its push into the Indian e-commerce market, making the nation its fifth largest market after the U.S., the U.K. Japan and Germany. That being said, Amazon's global margins are likely to be under pressure at least for a few years in the future.
- ▼ Most retail businesses tend to be **seasonal** and Amazon's is no different. The company's revenues get a huge boost from the holiday season each year. Over 31% of its 2018 revenues were generated in the fourth quarter of 2018. With such a huge contribution from the fourth quarter, there is an obvious drop-off in the first quarter. The dependence on consumer spending makes the business lumpy, increasing the possibility of expectations going awry. However, management usually provides a fairly conservative guidance and reported revenues are usually within the guided range.

Amazon's rising operating expenses to support expansion of business into new markets and territories, and grow its volume of content remain major concerns.

Last Earnings Report

Amazon's Q1 Earnings & Revenues Beat Estimates

Amazon.com (AMZN) reported first-quarter 2019 earnings of \$7.09 per share, beating the Zacks Consensus Estimate by \$2.48. The figure soared 116.8% year over year.

Further, net sales of \$59.70 billion comfortably surpassed the Zacks Consensus Estimate of \$59.69 billion and came within the company's guided range of \$56-\$60 billion. Further, the figure reflected year-over-year growth of 17%.

North America revenues (60% of sales) increased 16.6% from the year-ago quarter to \$35.81 billion. International revenues (27% of sales) increased 9% year over year to \$16.19 billion. Amazon Web Services (AWS) revenues (13% of sales) surged 41.4% year over year to \$7.69 billion.

Amazon's drive to bolster grocery retail presence on the back of its strengthening grocery services contributed to the results. Further, expanding global presence of Alexa continued to aid its adoption rate. Additionally, enhanced key offerings by AWS remained a key catalyst throughout the first quarter.

Strengthening AWS Services Portfolio

AWS revenue growth was driven by its expanding services portfolio which helped it in winning a number of customers during the reported quarter. Moreover, its growing number of regions and availability zones acted as a tailwind.

The company made its new storage class, Amazon S3 Glacier Deep Archive, generally available during the first quarter, consequently taking the total number of S3 storage class options to six. Moreover, Deep Archive started gaining traction among customers rapidly just after it was made available.

Further, AWS made a new storage class for Amazon EFS, Amazon EFS Infrequent Access, available to customers.

Additionally, AWS made, Concurrency Scaling, a new feature of its scalable data warehouse, Amazon Redshift, available to customers. The company also announced the general availability of its fully-managed service, Amazon WorkLink, during the first quarter.

Further, the company launched a separate library of open-source code for Elasticsearch, called Open Distro for Elasticsearch, thus bolstering open source initiatives.

AWS' total number of Availability Zones currently stands at 64 across 21 global infrastructure regions. Notably, it opened AWS Asia Pacific region in Hong Kong recently and unveiled its plans to launch another 12 Availability Zones and four regions in Bahrain, Italy, Indonesia and South Africa.

All these strong endeavors bolstered AWS customer base. During the first quarter, companies like Choice Hotels, Gogo (GOGO) and Lyft selected AWS for running their entire infrastructure and workloads.

Further, Standard Bank Group, Guinness Six Nations Championship and Clippers CourtVision have chosen AWS as their preferred cloud provider, thanks to its robust cloud computing, AI, ML, Deep Learning (DL) and data analytics techniques.

In order to continue with the robust momentum among the customers, Amazon announced three new renewable energy projects in Ireland, Sweden and the United States to power AWS' global infrastructure globally.

Additionally, AWS entered in a multi-year agreement with Volkswagen in order to help the latter in building its cloud-based Industrial digital production platform, Volkswagen Industrial Cloud.

Prime Momentum Continues

During the first quarter, the e-commerce giant sustained its Prime momentum on the back of robust grocery services, Whole Foods strategy, fast delivery services and expanding content portfolio.

The company introduced an advanced and convenient method of delivering packages for Prime members in the reported quarter. Prime members can now get their orders delivered by selecting any day of the week via Amazon Day. Notably, the initiative is gaining rapid adoption among shoppers.

Further, Amazon adopted a price cut strategy at Whole Foods Market for fresh produces to boost customer visit rate further. Moreover, two-hour delivery service from Whole Foods stores via Prime Now continued to witness strong demand from grocery shoppers.

Recently, this service was launched at nine U.S. metro places, thus taking the total count to 75 U.S. metros. Further, grocery pick-up service, which is now available at 30 U.S. metro areas, continues to gain traction.

Additionally, Key by Amazon, which was launched in the beginning of first quarter, gained popularity among the Prime members owing to its efficient delivery system. The service is now accessible to Prime users in 50 U.S. cities.

Further, the company made every effort to bolster presence in booming streaming space on the back of its robust content portfolio. Amazon brought the rights to Major League Baseball's ("MLB") OTT service, called MLB.TV on Prime Video.

Additionally, Amazon Studios green lighted more than 20 new and returning local Prime Original Series, which includes Bandish Bandits in India,

Quarter Ending 03/2019

Report Date	Apr 25, 2019
Sales Surprise	0.01%
EPS Surprise	53.80%
Quarterly EPS	7.09
Annual EPS (TTM)	23.95

The Bachelorette in Japan, LaTemplanza in Spain, Wir Kinder vomBahn of Zoo in Germany and El Presidente in Mexico. Further, the first season of its original series, Hanna, was launched on Prime Video at the end of the reported quarter.

Alexa Becoming Smarter, Fire TV Gaining Traction

The Alexa Skills Store now offers more than 90,000 skills. Alexa users can now access Apple Music on Fire TV, Echo and Sonos devices in the United States and the U.K. Also, Amazon rolled out new tools for the enhancement of Echo Auto, Alexa enabled vehicles and automotive accessories skills.

Further, Amazon benefited significantly from the international expansion of Alexa features. The company introduced Echo Input in India, Australia, Japan, France, Spain and Italy. Skype calling with Alexa was rolled out in Mexico, Italy, Spain, France and Germany. Also, Echo Show was unveiled in France, Spain, Italy and India.

Moreover, support to regional languages in Alexa also remained positive. Alexa now supports French in Canada. Further, Amazon is gearing up to launch Alexa in Brazil later this year.

Further, the company continued to gain traction in the car infotainment space. Alexa Auto was introduced in Audi e-tron.

Additionally, the company unveiled Fire TV Stick compatible with Alexa Voice Remote. Moreover, Fire TV continued to witness growth in its adoption rate. Its active user base stands at 30 million.

Quarter Details

Product sales (57.4% of sales) increased 8.5% year over year to \$34.28 billion. Service sales (42.6% of sales) surged 30.8% from the year-ago quarter to \$25.42 billion.

Operating expenses were almost \$55.28 billion, up 12.5% from the year-ago quarter. Cost of sales, fulfillment, marketing, technology & content, and general & administrative surged 10.4%, 10.4%, 35.7%, 17.3% and 9.9%, respectively. Meanwhile, other operating income came in at \$5 million compared with \$63 million of expense in the year-ago quarter.

As percentage of revenues, operating expenses declined 360 basis points (bps) on a year-over-year basis to 92.6%. Cost of sales, fulfillment, and general & administrative contracted 340 bps, 90 bps and 20 bps, respectively.

However, technology & content, and marketing expenses expanded 10 bps and 80 bps, respectively, from the year-ago quarter.

Operating income jumped 129.4% from the year-ago quarter to \$4.42 billion. Operating margin expanded 360 bps from the year-ago quarter to 7.4%.

Operating income for North America and AWS came in \$2.29 billion and \$2.22 billion, up 99% and 58.8%, respectively. Further, operating margin from these two segments expanded 270 bps and 320 bps, respectively.

International segment reported a loss of \$90 million compared with the year-ago quarter's loss of \$622 million.

Guidance

For second-quarter 2019, Amazon expects net sales between \$59.5 billion and \$63.5 billion. The figure is anticipated to grow in the range of 13-20% on a year-over-year basis.

Management projects an unfavorable impact of approximately 150 bps from foreign exchange rates.

Operating income is expected between \$2.6 billion and \$3.6 billion compared with \$3 billion in second-quarter 2018.

Recent News

On **May 31, 2019**, Amazon entered into a definitive agreement to buy Sizmek Ad Server and Sizmek Dynamic Creative Optimization (DCO) in order to boost its advertisement footprint.

On **May 23, 2019**, Amazon added a vast repertoire of traditional Chinese language books on its reading device, Kindle. The company has added more than 20k books to its Kindle store, which is in sync with the expansion of Amazon's e-books portfolio.

On **May 23, 2019**, Amazon's cloud computing arm made AWS Ground Station generally available to customers. This initiative was launched in the later part of 2018. The new service offers low-latency and access to other AWS services while controlling satellites from AWS, download, store and process data from satellites into AWS Global Infrastructure Regions.

On **Apr 25, 2019**, Amazon's cloud computing platform, AWS opened a new region called AWS Asia Pacific region in Hong Kong, thus expanding its global footprint.

On **Apr 3, 2019**, Amazon's AWS revealed its plans for setting up an infrastructure region in Indonesia, marking its ninth such establishment in the Asia Pacific (APAC) region. The move will expand its cloud capabilities in the region.

On **Mar 28, 2019**, Amazon revealed about the expansion of its tech hub in Austin. The hub primarily focuses on cloud and big data, and machine learning solutions, among many others. This expansion is expected to create 800 new job opportunities.

On **Mar 27, 2019**, Amazon's AWS made a new feature of its scalable data warehouse Amazon Redshift, called Concurrency Scaling available to the customers in general.

On **Mar 13, 2019**, Amazon's AWS was selected by GOGO. The latter Gogo is set to shift its entire infrastructure to AWS in order to improvise cost structure and achieve better work efficiency by utilizing AWS storage, database, analytics and serverless services.

On **Mar 6, 2019**, Amazon named its healthcare venture created in collaboration with Berkshire Hathaway and JPMorgan Chase as Haven. Also, it rolled out its website called www.havenhealthcare.com.

On **Mar 6, 2019**, Amazon reportedly gearing up to shut down all its 87 pop-up stores in U.S. to open additional bookstores and 4-star stores.

On **Mar 1, 2019**, Amazon reportedly pursuing inauguration of a new chain of grocery stores across the major cities of U.S., with the intention of disrupting the retail space further.

On **Feb 29, 2019**, Amazon introduced an advanced and convenient method of delivery of packages for Prime members. It has launched Amazon Day which can be selected as any day in a week on which Prime users can get all of their orders delivered together in fewer packages.

On **Feb 26, 2019**, Amazon's AWS acquired another client called Lyft. The latter is going all-in on to strengthen its ridesharing marketplace.

On **Feb 15, 2019**, Amazon's AWS was selected by Los Angeles Clippers and Second Spectrum as the primary cloud computing, machine learning, and artificial intelligence provider of Clippers CourtVision.

On **Feb 11, 2019**, Amazon entered into a definitive agreement to acquire eero in order to foray into home router space. Notably, eero is a startup best known for its home mesh WiFi systems that utilize multiple access points to connect every room of a house with secured and reliable WiFi in order to deliver high-performing internet connectivity in every room. This will expand Amazon's smart home product portfolio.

On **Jan 16, 2019**, Amazon's cloud computing arm, Amazon Web Services unveiled a centralized backup service called AWS Backup. The service will offer customers with an automatic and continuous data backup to meet their business and regulatory requirements.

On **Jan 14, 2019**, Amazon's cloud computing platform acquired a new client called Choice Hotels International, thus expanding its customer base.

On **Jan 10, 2019**, Amazon rolled out a free video streaming channel namely IMDb Freedive via its IMDb movie website. The new channel is free of subscription and ad-supported which streams popular TV shows and movies.

On **Jan 9, 2019**, Amazon introduced Amazon DocumentDB, thus expanding the database services portfolio of AWS. Notably, the new service is compatible with MongoDB applications and tools.

Valuation

Amazon shares are up 21.4% in the year-to-date period and 9.5% over the trailing 12-month period. Stocks in the Zacks sub-industry and the Zacks Retail-Wholesale sector are up 13.9% and 8.7% in the year-to-date period, respectively. Over the past year, the Zacks sub-industry and the sector are down 15.9% and 4.9%, respectively.

The S&P 500 index is up 9% in the year-to-date period and down 0.9% in the past year.

The stock is currently trading at 3.04X forward 12-month sales, which compares to 3.53X for the Zacks sub-industry, 0.88X for the Zacks sector and 2.99X for the S&P 500 index.

Over the past five years, the stock has traded as high as 3.7X and as low as 1.23X, with a 5-year median of 2.35X. Our Neutral recommendation indicates that the stock will perform in-line with the market. Our \$1,864 price target reflects 3.2X forward 12-month sales.

The table below shows summary valuation data for AMZN

Valuation Multiples - AMZN

Valuation Multiples - AMZN					
		Stock	Sub-Industry	Sector	S&P 500
P/S F12M	Current	3.04	3.53	0.88	2.99
	5-Year High	3.7	5.58	1.08	3.39
	5-Year Low	1.23	3.03	0.67	2.52
	5-Year Median	2.35	4.51	0.85	2.87
EV/Sales TTM	Current	3.66	4.63	1.11	2.82
	5-Year High	4.77	7.76	1.25	3.27
	5-Year Low	1.39	3.98	0.81	2.08
	5-Year Median	2.92	6.1	0.99	2.57
EV/EBITDA TTM	Current	28.11	46.76	12.15	10.48
	5-Year High	51.02	185.68	14.42	12.8
	5-Year Low	25.29	22.53	9.08	8.48
	5-Year Median	33.58	43.67	11.65	10.04

As of 05/31/2019

Industry Analysis Zacks Industry Rank: Bottom 26% (189 out of 256)



Top Peers

The Kroger Co. (KR)	Outperform
Walmart Inc. (WMT)	Outperform
Alibaba Group Holding Limited (BABA)	Neutral
eBay Inc. (EBAY)	Neutral
Facebook, Inc. (FB)	Neutral
Alphabet Inc. (GOOGL)	Neutral
Microsoft Corporation (MSFT)	Neutral
Target Corporation (TGT)	Neutral

Industry Comparison Industry: Internet - Commerce				Industry Peers		
	AMZN Neutral	X Industry	S&P 500	GOOGL Neutral	MSFT Neutral	WMT Outperform
VGM Score	D	-	-	B	B	C
Market Cap	894.23 B	3.63 B	21.77 B	778.53 B	963.45 B	292.99 B
# of Analysts	15	3	14	14	14	16
Dividend Yield	0.00%	0.00%	2.03%	0.00%	1.46%	2.07%
Value Score	D	-	-	C	C	C
Cash/Price	0.04	0.10	0.04	0.14	0.14	0.03
EV/EBITDA	31.43	10.24	12.05	15.23	18.16	14.32
PEG Ratio	2.02	1.70	1.78	1.39	2.17	4.46
Price/Book (P/B)	18.47	3.97	3.00	4.25	10.16	3.91
Price/Cash Flow (P/CF)	35.11	19.17	11.96	18.37	23.89	12.04
P/E (F1)	66.86	24.72	16.45	24.27	26.98	21.09
Price/Sales (P/S)	3.70	1.88	2.43	5.48	7.88	0.57
Earnings Yield	1.46%	2.12%	5.98%	4.07%	3.64%	4.71%
Debt/Equity	0.48	0.30	0.69	0.02	0.70	0.89
Cash Flow (\$/share)	51.74	0.54	6.85	61.03	5.26	8.49
Growth Score	B	-	-	B	B	C
Hist. EPS Growth (3-5 yrs)	126.66%	21.66%	9.10%	21.38%	13.21%	-1.46%
Proj. EPS Growth (F1/F0)	31.83%	13.51%	6.51%	4.33%	18.15%	-2.04%
Curr. Cash Flow Growth	85.21%	6.15%	16.21%	44.22%	16.92%	5.58%
Hist. Cash Flow Growth (3-5 yrs)	48.43%	15.60%	8.89%	21.13%	9.25%	-0.35%
Current Ratio	1.09	1.29	1.26	3.96	2.97	0.77
Debt/Capital	32.51%	29.05%	42.66%	2.17%	41.24%	47.20%
Net Margin	4.97%	4.06%	11.59%	19.71%	28.58%	1.62%
Return on Equity	28.91%	10.53%	17.57%	20.06%	39.34%	18.66%
Sales/Assets	1.56	1.17	0.55	0.62	0.47	2.33
Proj. Sales Growth (F1/F0)	18.19%	5.05%	3.70%	18.17%	13.14%	2.53%
Momentum Score	D	-	-	B	D	B
Daily Price Chg	-2.27%	0.00%	-1.02%	-1.33%	-1.63%	-0.73%
1 Week Price Chg	-2.45%	-2.37%	-0.77%	-2.58%	-1.43%	1.79%
4 Week Price Chg	-4.45%	-13.73%	-4.31%	-3.87%	-0.38%	1.03%
12 Week Price Chg	11.71%	-5.98%	0.22%	-2.56%	13.90%	4.86%
52 Week Price Chg	11.46%	-20.67%	1.94%	1.95%	27.21%	23.81%
20 Day Average Volume	4,325,637	115,618	1,885,596	1,479,277	23,319,852	6,974,434
(F1) EPS Est 1 week change	-0.16%	0.00%	0.00%	0.00%	0.00%	0.01%
(F1) EPS Est 4 week change	-0.16%	-0.08%	0.00%	0.15%	-0.03%	1.18%
(F1) EPS Est 12 week change	0.44%	-2.86%	0.20%	2.03%	3.88%	1.18%
(Q1) EPS Est Mthly Chg	0.00%	-1.53%	0.00%	-0.05%	-0.12%	-1.19%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons; Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

This rating system that has an excellent track record of predicting performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook.

The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike most Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations.

Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest ratedstocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	D
Growth Score	B
Momentum Score	D
VGM Score	D

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

Disclosures

The analysts contributing to this report do not hold any shares of this stock. The EPS and revenue forecasts are the Zacks Consensus estimates, unless indicated otherwise on the reports first page. Additionally, the analysts contributing to this report certify that the views expressed herein accurately reflect the analysts personal views as to the subject securities and issuers. Zacks certifies that no part of the analysts compensation was, is, or will be, directly or indirectly, related to the specific recommendation or views expressed by the analyst in the report. Additional information on the securities mentioned in this report is available upon request. This report is based on data obtained from sources we believe to be reliable, but is not guaranteed as to accuracy and does not purport to be complete. Because of individual objectives, the report should not be construed as advice designed to meet the particular investment needs of any investor. Any opinions expressed herein are subject to change. This report is not to be construed as an offer or the solicitation of an offer to buy or sell the securities herein mentioned. Zacks or its officers, employees or customers may have a position long or short in the securities mentioned and buy or sell the securities from time to time. Zacks uses the following rating system for the securities it covers. **Outperform-** Zacks expects that the subject company will outperform the broader U.S. equity market over the next six to twelve months. **Neutral-** Zacks expects that the company will perform in line with the broader U.S. equity market over the next six to twelve months. **Underperform-** Zacks expects the company will underperform the broader U.S. Equity market over the next six to twelve months.